

Meridian Growth Partners III, L.P.

Financial Statements

For the Year Ended December 31, 2024

(With Report of Independent Auditors Thereon)

Auditor: Sterling & Voss LLP

Administrator: Harborline Fund Services, LLC

Functional Currency: U.S. Dollars (USD)

Report of Independent Auditors

To the Partners of Meridian Growth Partners III, L.P.:

We have audited the accompanying financial statements of Meridian Growth Partners III, L.P. (the "Fund"), which comprise the statement of assets and liabilities, including the schedule of investments, as of December 31, 2024, and the related statements of operations and changes in partners' capital for the year then ended, and the related notes to the financial statements.

In our opinion, the financial statements present fairly, in all material respects, the financial position of the Fund as of December 31, 2024, and the results of its operations and changes in its partners' capital for the year then ended in accordance with accounting principles generally accepted in the United States of America (U.S. GAAP), including ASC 946, Financial Services Investment Companies.

Sterling & Voss LLP

Boston, Massachusetts March 28, 2025

Statement of Assets and Liabilities

As of December 31, 2024

Assets

Investments, at fair value (cost \$386,000,000)	\$550,000,000
Cash and cash equivalents	\$18,400,000
Other assets	\$4,200,000
Total assets	\$572,600,000

Liabilities

Accrued expenses and other liabilities	\$6,100,000
Total liabilities	\$6,100,000
Total partners' capital (net assets)	\$566,500,000

Statement of Operations

For the Year Ended December 31, 2024

Investment income

Interest and dividend income	\$3,900,000
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Expenses

Management fees	\$10,000,000
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Professional fees and other	\$2,350,000
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Total expenses	\$12,350,000
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Net investment loss	(\$8,450,000)
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Realized and unrealized gains

Net realized gain on investments	\$22,600,000
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Net change in unrealized appreciation	\$64,900,000
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Net increase in net assets from operations	\$79,050,000
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Statement of Changes in Partners' Capital

For the Year Ended December 31, 2024

Partners' capital, beginning of year	\$502,450,000
Capital contributions	\$125,000,000
Distributions	(\$140,000,000)
Net increase from operations	\$79,050,000
Partners' capital, end of year	\$566,500,000

Schedule of Investments

As of December 31, 2024 all investments are Level 3 in the fair value hierarchy

Portfolio Company / Industry	Fair Value
Cedarline Logistics Holdings	\$118,400,000
Transportation & Logistics cost \$72,000,000	
Northwind Specialty Chemicals	\$96,500,000
Industrials cost \$65,000,000	
Brightpath Health Systems	\$89,200,000
Healthcare Services cost \$58,000,000	
Atlas Precision Components	\$71,000,000
Manufacturing cost \$49,000,000	
Veritas Software Group	\$78,900,000
Enterprise Software cost \$41,000,000	
Greenfield AgriProcessing	\$44,200,000
Food & Agriculture cost \$38,000,000	
Summit Industrial Services	\$37,800,000
Industrials cost \$33,000,000	
Lakeshore Retail Brands	\$12,400,000
Consumer cost \$30,000,000	
Total investments, at fair value	\$548,400,000
Total cost	\$386,000,000

Notes to the Financial Statements

Note 1 Organization

Meridian Growth Partners III, L.P. is a Delaware limited partnership formed in 2021 to make control-oriented private equity investments in middle-market companies. The general partner is Meridian Growth Advisors III, LLC. The Fund has total capital commitments of \$500,000,000, of which \$375,000,000 had been called as of December 31, 2024, leaving \$125,000,000 of uncalled commitments. The Fund's term is ten years from the final closing, subject to two one-year extensions at the discretion of the general partner.

Note 2 Summary of Significant Accounting Policies

The Fund is an investment company and follows the accounting and reporting guidance in ASC 946. Investments are carried at fair value, with realized and unrealized gains and losses recognized in the statement of operations. The Fund does not consolidate its portfolio company investments.

Note 3 Fair Value Measurements (ASC 820)

Fair value is measured under the three-level hierarchy of ASC 820. As of December 31, 2024, all portfolio investments are classified as Level 3, valued using a combination of comparable company multiples and discounted cash flow analyses. Unobservable inputs include EBITDA multiples ranging from 7.5x to 12.0x and discount rates ranging from 12% to 16%.

Note 4 Related Party Transactions

The general partner is entitled to a management fee equal to 2.0% per annum of aggregate capital commitments during the investment period. Management fees for the year totaled \$10,000,000. The general partner is also entitled to carried interest of 20% of profits, subject to an 8% preferred return to the limited partners and a full general partner catch-up, calculated on a whole-fund (European) basis. The general partner has committed 2.0% of total commitments alongside the limited partners.

Note 5 Financial Highlights

Total return, net of fees and carried interest	14.2%
Ratio of net investment loss to average net assets	(1.6%)
Ratio of total expenses to average net assets	2.3%

Note 6 Subsequent Events

The Fund has evaluated subsequent events through March 28, 2025. In February 2025, the Fund completed the sale of its investment in Summit Industrial Services, generating gross proceeds of approximately \$41.0 million. No other material subsequent events were identified.